

Voluntary Report – Voluntary - Public Distribution

Date: January 27, 2025

Report Number: AR2025-0002

Report Name: Argentina Slashes Export Taxes Amid Economic Pressures - Sparking Hope for Argentine Farmers

Country: Argentina

Post: Buenos Aires

Report Category: Agricultural Situation, Grain and Feed, Oilseeds and Products, Trade Policy Monitoring, Policy and Program Announcements

Prepared By: Kenneth Joseph

Approved By: Chase Mcgrath

Report Highlights:

Argentina will cut export taxes on major agricultural commodities, effective January 27, 2025, on key crops including soybeans, corn, and wheat. These lower export taxes will remain in place throughout this crop season until June 30, 2025. The government also permanently eliminated export taxes on other crops such as sugar and peanuts, aiming to alleviate the strain on producers of low global prices, high production costs, and dry growing conditions. The move, welcomed by the agricultural sector, is expected to boost farmer profitability and global competitiveness while signaling potential long-term policy shifts by the Argentine government.

On January 23, 2025, Minister of Economy Luis Caputo announced significant modifications to export taxes (known locally as *retenciones*) on major crops, effective January 27, 2025. Reductions include export taxes on the soy complex which includes soymeal and soy oil. These changes include temporary reductions through June 30, 2025, and the permanent elimination of export taxes on certain commodities.

Temporary Export Tax Reduction, through June 30, 2025:

Commodity	Pervious %	Now Taxed at %
Soybeans	33	26
Soybean by products	31	24.5
Corn	12	9.5
Wheat	12	9.5
Barley	12	9.5
Sorghum	12	9.5
Sunflower	7	5.5

Permanent Elimination:

Commodity
Sugar
Peanuts
Rice
Cotton
Tobacco
Forestry

While the decree itself and specific details are yet to be published, the reduction in export taxes for major crops constitutes an approximate 20 percent overall decrease among all crops. Taxes on minor commodities, locally referred to as “Regional Economies”, are permanently eliminated entirely. Exports in this category totaled \$1.1 billion in 2024.

Driving Forces Behind the Policy Shift

This unexpected measure is a response to several economic and environmental challenges, including:

- Low world commodity prices
- Higher production costs
- High tax burdens on farmers
- Low farm profitability
- Adverse weather conditions

In addition to these economic factors, drought in the major growing regions thus far in the season have raised concerns among producers on the impact on soybean and corn yields in particular which are the most significant summer crops and hardest hit by export taxes.

Over recent months, provincial governors and agricultural groups exerted significant pressure on the government to alleviate these challenges and provide breathing room for the struggling agricultural economy.

Government Perspective

Minister Caputo stated this measure is possible due to the current stability of the country's macroeconomic conditions but emphasized its temporary nature for major commodities. President Javier Milei reaffirmed the administration's long-term goal of eliminating export taxes entirely, contingent on improvement of country's economic situation. The government heavily relies on agricultural export taxes, in particular on the soy complex and corn, for revenue and foreign currency reserves for the central bank. According to a recent report by the Bolsa de Cereales de Rosario, export taxes on the six major crops in 2024 generated \$5.3 billion in revenue for the government. Before this announcement, export tax revenue in 2025 was projected to exceed \$8 billion, with soybeans accounting for approximately 80 percent with corn contributing 11 percent, and wheat 4 percent of the total.

Reaction from the Agricultural Industry

The agricultural community, including farmers and industry representatives, cheered the government's decision. Many view it as a critical step toward improving profitability, encouraging investment, and boosting production. Farm lobby groups have pledged to continue collaborating with the government to eventually achieve a complete elimination of export taxes. Industry speculates the "temporary status" of this measure may extend through 2025, especially with mid-term elections scheduled for late October. Securing the key agricultural sector's support will likely be a priority for the administration.

Economic Implications

It remains too early to fully assess the impact on farmers' profitability and the government's fiscal position. Preliminary estimates suggest that under current market conditions, farmer returns have shifted from negative to slightly positive. Analysts predict that increased farmer selling and exports from Argentina could intensify competition in global markets starting next week, potentially putting downward pressure on world prices.

This policy marks a critical juncture for Argentina's agricultural sector, with potential implications for Argentine producers and global commodity markets which could impact American producers and exports as Argentine farmers become more competitive. Post and stakeholders will closely monitor developments over the coming months and report new developments.

Attachments:

No Attachments.